

would ensure that local companies are incentivised to make superior products, which is the core objective of Make in India programme.

Increased threshold limit for offsets. Under DPP 2016, offset threshold limit has been raised to ₹ 20 billion (around US\$ 305 million) from the earlier limit of ₹ 3 billion. This is in contrast to global trends in defence offset thresholds (which are between US\$ 5 to 15 million in many countries including Israel, Malaysia, Turkey and UAE—countries that have set the offset threshold on the basis of long-term experience).

Moreover, this increased threshold limit may lead to a situation where fewer import contracts will be eligible for offsets. This, in turn, can impact the local industry, particularly manufacturers of parts and components who got a good boost through the existing offset policy to enhance their capability.

More scope for FDI

Seventy one per cent of those on our panel of experts believe that removal of the 49 per cent FDI limit in the defence sector has opened up avenues for significant investments, and has given the much required impetus for many small- and medium-size enterprises (SMEs) to have access to finance and technology (Fig. 3).

Liberalised FDI regime permits up to 100 per cent (up to 49 per cent through the automatic route and beyond that through Foreign Investment Promotion Board, or FIPB, route) foreign equity in the defence sector, as India looks ahead to increasing indigenous manufacturing in defence under Make in India programme.

However, the remaining 29 per cent raised concerns about the following issues:

1. Considering the low-volume production model followed in the SE sector, most of the OEMs out-

source all systems and sub-systems (parts, components, equipment, etc), procuring from a global supply chain that comprises specialised competencies. Hence, even if a foreign platform manufacturer sets up an Indian operation, there is a high chance that it will import all systems, parts, components and equipment through its global supply chain.

The systems, components, parts and equipment constitute more than 70 per cent of the life cycle costs of the platform. Therefore in absence of a complete ecosystem of tier 1, tier 2 and tier 3 Indian

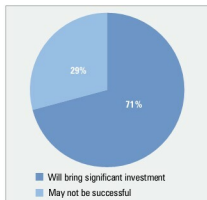


Fig. 3: Views on the impact of FDI Policy 2016

supply chain companies, the policy will only help foreign OEMs to increase their participation in Indian defence procurements.

2. Most of the foreign OEMs that set up their Indian subsidiaries assemble their products using imported completely knocked down kits. However, those assembled products are marked as Manufactured in India. Moreover, these products can be priced lower than what Indian companies can deliver as those assembled products incur no design or development cost. This, in turn, may give an unfair competitive advantage to multinational OEMs compared to Indian R&D and design organisations, including DRDO and DPSUs.

3. Foreign OEMs with a manufacturing plant located in India can be included in Buy India-IDDM

category just by fulfilling the stipulated 60 per cent indigenous content clause for any of their A&D platforms. But all A&D platforms go through at least a couple of system upgrades throughout their long life cycle (an average of 40 years), and a particular foreign OEM is selected automatically for all upgradation projects with limited participation of genuine Indian companies or individuals. This would ultimately lead to the demise of even the few Indian enterprises that have already shown signs of meeting the challenge of IDDM.

4. Foreign OEMs are less likely to create intellectual property in India. Therefore Design in India concept will not be promoted through joint ventures with higher FDI.

What next

To ensure that the Indian industry makes full use of this opportunity and creates world-class companies and capabilities, which address not only India's opportunities but also integrate into global value chains of OEMs, there is a concrete need for the government to address some issues. We received consolidated policy recommendations from IESA, NASSCOM and Roland Berger for the same. They believe that these issues, for which policy recommendations have been made, can be broadly grouped into major groups and sub-groups.

The first major issue that needs attention is to address lack of visibility, for companies in this segment, in the short term as well as long term, both from a technology as well as procurement perspective. This lack of visibility limits the ability of Indian companies to proactively plan and create competencies, knowing that there is a strong government orientation to look at similar segments.

The second problem relates to some structural issues, which must be sorted out in order to stream-